STR OPERATIONS PLAYBOOK

Alert to FIU-IND Filing - Standard Operating Procedure

IFSCA-Regulated International Banking Unit | GIFT City, India

Version	1.0 -Initial Issue
Effective Date	01 January 2026
Regulatory Basis	IFSCA AML/CFT & KYC Guidelines 2022 (updated 26 Feb 2026) | PMLA Rules 3 & 7
Prepared By	Neel Parekh -Compliance Execution Portfolio
Approved By	[Principal Officer - to be designated on adoption]
Review Frequency	Annual, or on material regulatory change -whichever is earlier
Applies To	Compliance team, Principal Officer, any staff involved in alert triage or STR process
Next Review Date	01 January 2027

CONFIDENTIAL -INTERNAL USE ONLY
This SOP contains information subject to tipping-off restrictions under Clause 10.4 of the IFSCA AML/CFT & KYC Guidelines 2022.
Do not share with clients, counterparties, or any person not authorized to access AML/CFT operational procedures.
Document control: Retain for minimum 6 years from last effective date per Clause 9.2, IFSCA Guidelines.

Portfolio Disclaimer: This document was prepared by Neel Parekh as a compliance execution portfolio project demonstrating operational capability for IFSCA-regulated International Banking Units. All client names, transaction references, and STR numbers are fictional and created for illustrative purposes only. This document does not constitute legal advice and should not be adopted without review and approval by a qualified compliance professional and the entity's Principal Officer.

1. Purpose and Scope

This Standard Operating Procedure (SOP) governs the end-to-end operational process for identifying, investigating, and reporting Suspicious Transactions to the Financial Intelligence Unit -India (FIU-IND) by an IFSCA-regulated International Banking Unit (IBU) operating in GIFT City, India.

The SOP covers the complete lifecycle from the moment an alert is generated in the transaction monitoring system, through triage, investigation, Principal Officer review, FIU-IND filing, post-filing monitoring, and record retention. It is designed for a compliance team of three to six people working under realistic resource constraints, with no reliance on systems or automation that a mid-sized IBU would not already have.

This SOP applies to all members of the compliance team, the Principal Officer, and any other staff member who may encounter a potentially suspicious transaction in the ordinary course of their duties.

1.1 What This SOP Does Not Cover

This SOP does not cover the design of the transaction monitoring system, the setting of monitoring thresholds, the KYC/CDD onboarding process, or the business risk assessment process. Those processes have their own governing documentation. This SOP begins at the point where an alert has been generated and must be assessed.

2. Regulatory Basis

This SOP is grounded in the following regulatory obligations. The Principal Officer and compliance team must be familiar with these sources:

Regulatory Source	Relevant Obligation
IFSCA AML/CFT & KYC Guidelines 2022 (updated Feb 2026) -Clause 10.1	Regulated Entity must establish policies and controls to monitor and detect suspicious transactions.
IFSCA Guidelines -Clause 10.2	Four-step detection process: Detect suspicious indicator, Ask the customer, Review customer records, Evaluate information collected.
IFSCA Guidelines -Clause 10.3	Principal Officer must be named to FIU-IND. STR must be submitted promptly on conclusion of suspicion. Principal Officer is personally responsible for timely submission.
IFSCA Guidelines -Clause 10.4	Tipping-off prohibition: The Regulated Entity and its employees must not disclose to any person that an STR has been filed or that suspicion has been formed.
IFSCA Guidelines -Clause 5.9 & 7.3–7.5	Ongoing sanctions screening obligation. Wire transfers involving sanctioned parties must be blocked. Positive hits escalated to Principal Officer. Sanctions exposure triggers STR assessment.
IFSCA Guidelines -Clause 8.2	Principal Officer obligations: oversight of AML/CFT, ensuring speedy reaction to suspicion, overseeing STR reporting, reporting to Senior Management.
Prevention of Money Laundering Act 2002 (PMLA) -Rule 3	Defines what transactions must be reported to FIU-IND.
PMLA -Rule 7	Governs the reporting procedure, format, and submission timelines to FIU-IND.
PMLA -Chapter IX, Clause 9.2 (IFSCA Guidelines)	All STR-related records to be retained for minimum six years from date of filing.
Section 51A, UAPA 1967	UNSC-designated individuals and entities: freeze assets, report to MHA. Compliance checked daily.

3. Key Terms and Definitions

The following terms are used throughout this SOP. All definitions are drawn from the IFSCA AML/CFT & KYC Guidelines 2022 unless otherwise noted:

Term	Definition (Operational Meaning)
Suspicious Transaction	A transaction that gives rise to reasonable grounds of suspicion that it may involve proceeds of a scheduled offence, or appears to have no economic rationale, or may involve terrorist financing. The standard is reasonable grounds -not certainty, not proof. (Clause 1.3.40, IFSCA Guidelines)
Alert	A flag generated by the transaction monitoring system or a manual referral from a business line indicating a transaction warrants compliance review. Every alert is triaged before a case is opened.
Case	A formal investigation opened following a triage decision to escalate an alert. A case has an assigned investigation owner, a case ID, and a defined timeline.
Principal Officer (PO)	The officer designated by the Regulated Entity and named to FIU-IND who is personally responsible for final STR filing decisions and timely submission. Cannot delegate the final filing decision. (Clause 8.2, IFSCA Guidelines; PMLA Rule 8)
Designated Director	A separate designation under PMLA -the person responsible for ensuring overall compliance with PMLA obligations. (Clause 1.3.12, IFSCA Guidelines)
FIU-IND	Financial Intelligence Unit -India. The national agency that receives, processes, and analyses STRs. Portal: fiuindia.gov.in
Tipping Off	Disclosing to a customer or any other person that an STR has been filed, will be filed, or that suspicion has been formed. Strictly prohibited at all stages before, during, and after STR filing. (Clause 10.4)
Triage	The initial compliance review of an alert to determine whether it should be closed (no further action) or escalated to a case investigation. Triage does not determine suspicion - it determines whether investigation is warranted.
Supplementary STR	An STR filed for a previously reported client where new suspicious activity connected to or escalating the original suspicion is identified after the first filing.
Sanctions Hit	A positive match from name screening against UNSC, UAPA, OFAC, EU, or other applicable sanctions lists. A sanction hit is not automatically an STR - it requires manual review, PO sign-off, and a separate STR assessment.

4. Principal Officer Obligations and Deputy Arrangement

The Principal Officer (PO) carries a personal statutory obligation under the PMLA and IFSCA Guidelines. This section sets out those obligations and the arrangements that must be in place to ensure continuity when the PO is unavailable.

4.1 Principal Officer Statutory Obligations

The Principal Officer is personally responsible for the following, and these responsibilities cannot be delegated away:

- Overseeing the STR process end-to-end, including the ongoing monitoring of business relationships for compliance (Clause 8.2(d)(i)).

- Making the final decision on whether to file an STR or close an investigation without filing. The Compliance Executive refers a fully documented case; the PO decides.
- Ensuring timely submission to FIU-IND. The IFSCA Guidelines (Clause 10.3) require filing promptly on conclusion that a transaction is suspicious. There is no fixed number of days -but delay of each day constitutes a separate violation under the Rules.
- Maintaining utmost confidentiality. The PO must ensure no tipping-off occurs at any stage of the process.
- Signing off on all sanctions screening outcomes - whether a hit is confirmed, treated as a false positive, or requires MHA notification under UAPA.
- Reporting regularly to Senior Management and the Governing Body on the outcomes of the STR process, including volume, SLA performance, and any patterns.
- Ensuring the name, designation, and address of both the Principal Officer and the Designated Director are communicated to FIU-IND and IFSCA (Clause 10.3(1)).

4.2 What the Principal Officer May Not Do

- The PO may not delegate the final STR filing decision to any other staff member.
- The PO may not restrict transactions in an account solely on the basis that an STR has been filed. Account operations continue normally after filing (Clause 10.3(2A) and Guidance Note 1 to Clause 10.3).
- The PO must not place restrictions on business relationships with a customer merely because they appear on an internal watchlist without completing the prescribed assessment process.

4.3 Deputy Arrangement

The IBU must designate a Deputy Principal Officer (Deputy PO) to act in the PO's absence. The Deputy PO must be:

- A suitably qualified member of the compliance team with adequate seniority.
- Formally designated by the Governing Body and notified to FIU-IND.
- Trained on the full STR filing process and the PMLA obligations attaching to the role.

When the PO is unavailable for more than one business day, the Deputy PO assumes all STR process responsibilities. All decisions made by the Deputy PO during that period must be reviewed by the PO upon return and countersigned within two business days.

> Practical note: In a 3-6 person compliance team, the Deputy PO is typically the most senior Compliance Executive. The key requirement is that the Deputy has been formally designated, trained, and notified to FIU-IND - not that they occupy a separate full-time role.

5. STR Lifecycle - Stage by Stage

The STR lifecycle consists of seven sequential stages. Each stage has a defined owner, SLA, inputs, outputs, and documentation requirement. No stage may be skipped. If circumstances require deviation from this sequence, the PO must be notified immediately and the deviation documented with rationale.

STAGE 1: ALERT GENERATION | Owner: Transaction Monitoring System / Manual Referral | SLA: N/A -automated

An alert is generated when the transaction monitoring (TM) system identifies a transaction or pattern that breaches a monitoring rule or threshold. Alerts may also be manually referred by business line staff, relationship managers, or the compliance team itself when a suspicious pattern is noticed outside the TM system.

Inputs to Stage 1:

- TM system flag with alert ID, client name, transaction amount, alert type, and date.

- Manual referral form submitted by a business line staff member under Clause 10.1(b) of the IFSCA Guidelines.

Output from Stage 1:

- Alert appears in the Alert & Case Log (Tab 1 of the STR Filing & Controls Workbook) with status: Pending Triage.
- Alert ID assigned in format ALT-YYYY-NNN (e.g., ALT-2026-001).

Key Principle:

There is no minimum monetary threshold for STR reporting. An alert for a transaction of USD 100 must be triaged with the same discipline as an alert for USD 10 million. (Guidance Note 3 to Clause 10.2, IFSCA Guidelines)

STAGE 2: ALERT TRIAGE | Owner: Compliance Executive | SLA: 24–48 hours from alert receipt

Triage is the initial compliance review of an alert. Its purpose is not to determine suspicion - it is to determine whether investigation is warranted. The Compliance Executive reviews the alert against the five triage gates in the Escalation Decision Matrix (Tab 2 of the workbook) and reaches one of two outcomes: Close or Escalate to Case.

Triage Process:

1. Log alert receipt time in the Alert & Case Log.
2. Review the alert type, transaction amount, client risk rating, and transaction history.
3. Apply the five triage gates in the Escalation Decision Matrix (Tab 2). Work through each gate in sequence.
4. For sanctions-related alerts (Gate A-2): escalate immediately to PO regardless of other factors. Do not proceed through remaining gates.
5. Record triage outcome in the Alert & Case Log: Close or Escalate.
6. If Close: record rationale. If Escalate: open case in the log and assign case ID in format CASE-YYYY-NNN.

Triage SLA:

Standard alerts: triage completed within 24 hours of alert receipt. High-volume periods (>105 alerts/month): triage completed within 48 hours. Sanctions hits: same business day.

> Triage discipline matters: a poorly reasoned Close at triage is as much of a risk as a missed filing. If in doubt at triage, escalate. It is always better to open a case and close it after investigation than to close an alert that later proves to be suspicious.

STAGE 3: CASE INVESTIGATION | Owner: Compliance Executive | SLA: 10 business days from case open

Once a case is opened, the Compliance Executive conducts a structured investigation. The investigation follows the four-step process prescribed in Clause 10.2 of the IFSCA Guidelines: Detect, Ask, Review, Evaluate.

Step 1 - Detect: Confirm the suspicious indicator(s).

- Identify all suspicious indicators present in the alert. Use the guidance on red flags in Clause 10.2 Guidance Note 1.
- Common red flags for an IBU: unusual wire patterns, no apparent economic purpose, high-risk jurisdiction exposure, structuring behavior, PEP involvement, trade finance document discrepancies, round-tripping of funds.

Step 2 - Ask: Seek an explanation from the customer.

- If one or more suspicious indicators are present, obtain the customer's explanation for the transaction using a service-based approach. Do NOT tip off the customer.
- Record the customer's explanation verbatim in the investigation template. Note the date, method of contact, and staff member who obtained the explanation.
- If the customer is uncontactable or refuses to provide an explanation, this itself is a risk factor. Document the attempts made.

Step 3 - Review: Assess the explanation against known customer information.

- Review the customer's complete profile: risk rating, CDD documentation, transaction history, source of funds, stated business purpose, related party information.
- Check whether the explanation is consistent with the customer's known business activities, income level, and transaction history.
- If the customer's risk profile has changed as a result of the investigation, update the profile.

Step 4 - Evaluate: Reach a conclusion.

- Apply the four investigation gates in the Escalation Decision Matrix (Tab 2, Section B).
- Reach one of three conclusions: (a) Refer to PO with recommendation to File STR, (b) Close -no reasonable grounds for suspicion found, or (c) Request Further Investigation - PO directs additional steps.
- Document the conclusion with full rationale. The investigation summary must be capable of standing alone as a complete account of the decision.

Investigation Documentation Standard:

Every case investigation must produce a documented investigation summary containing: (i) alert basis and initial suspicious indicators, (ii) steps taken, (iii) customer explanation obtained (if any), (iv) records reviewed, (v) aggravating factors identified (if any), (vi) conclusion and rationale, (vii) Compliance Executive sign-off. This documentation is retained for six years and must be available to IFSCA or FIU-IND on request.

STAGE 4: PRINCIPAL OFFICER REVIEW | Owner: Principal Officer | SLA: Promptly on receipt of investigation summary

The Compliance Executive refers the completed investigation summary to the Principal Officer. The PO independently reviews the summary and makes the final decision. This is the PO's personal statutory obligation -it cannot be delegated.

What the PO Reviews:

- The investigation summary and all supporting documentation.
- The Compliance Executive's recommendation (File / Close / Further Investigation).
- Whether all relevant red flags have been considered.
- Whether the customer's explanation, if provided, has been adequately assessed.
- Whether any sanctions exposure requires MHA notification separately from the STR.

PO Decision Options:

- File STR: The PO concludes there are reasonable grounds to suspect the transaction involves proceeds of crime or terrorist financing. The clock for 'prompt' filing starts from this conclusion.
- Close -No Suspicion: The PO is satisfied the investigation has produced a credible legitimate explanation. Close rationale documented and signed off by PO.
- Further Investigation: The PO requires additional steps before making a filing decision. The PO specifies in writing what additional information is required and by when.

PO Recording Requirement:

The PO must record their reasons for treating a transaction as suspicious (or for not doing so) in writing. This is a specific requirement under Clause 10.3(5)(a)(i) of the IFSCA Guidelines. A verbal decision is not sufficient.

> Timing: The PO should aim to review and decide within two business days of receiving the investigation summary. If the volume of referrals exceeds this capacity, the PO must escalate to Senior Management - not defer decisions.

STAGE 5: FIU-IND FILING | Owner: Principal Officer (decision) + Compliance Executive (mechanics) | SLA: Promptly on PO conclusion - target same business day

Once the PO concludes that an STR must be filed, the filing must be submitted to FIU-IND promptly. There is no fixed deadline in hours or days, but the IFSCA Guidelines state explicitly that 'delay of each day constitutes a separate violation.' The target for this IBU is same business day as PO conclusion, with a maximum of one business day in exceptional circumstances.

Filing Mechanics:

7. Log the PO's conclusion date and time in the STR Filing Log (Tab 3 of the workbook).
8. Complete the STR in the prescribed FIU-IND format. Use the Report Generation Utility (RGU) available on the FIU-IND website at fiuindia.gov.in to prepare the STR form.
9. Run the completed STR through the Report Validation Utility (RVU) to check for format errors before submission.
10. Submit via the FIU-IND reporting portal at fiuindia.gov.in. The PO or their authorized designate submits the final report.
11. Record the FIU-IND acknowledgement number and date in the STR Filing Log.
12. Assign a sequential STR reference number (STR-YYYY-NNN) for internal tracking.

Key STR Form Fields (FIU-IND Format):

The STR form requires: (i) details of the reporting entity and Principal Officer, (ii) client identification details (name, account, risk rating, nationality, address), (iii) transaction details (date, amount, currency, type, counterparties), (iv) description of the suspicious activity and the basis for suspicion, (v) any prior STR reference if supplementary, (vi) date of PO conclusion, (vii) PO signature/authorization.

Tipping-Off -Absolute Prohibition:

TIPPING-OFF PROHIBITION (Clause 10.4, IFSCA Guidelines)
From the moment suspicion is formed - before, during, and after STR filing - no member of the compliance team, the PO, or any other staff member may disclose to the client or any other person:
(a) that an STR has been or will be filed,
(b) that suspicion has been formed, or
(c) any information from which the client could conclude that a report has been or may be made.
This prohibition applies even if the client directly asks. Questions from clients about the status of their transactions should be handled by the business line using standard service language. The compliance team does not respond to client inquiries about their accounts once an STR is in process.
Violation of the tipping-off prohibition is a criminal offence under PMLA.

Nil Reporting:

No nil reporting is required to FIU-IND in periods where there are no suspicious transactions to report. (Guidance Note 1 to Clause 10.3, IFSCA Guidelines)

STAGE 6: POST-FILING MONITORING | Owner: Compliance Executive | SLA: Monthly review for 12 months post-filing

Filing an STR does not close the compliance obligation. The Regulated Entity must continue monitoring the client's account for further suspicious activity. A supplementary STR must be filed if new activity connected to or escalating the original suspicion is identified.

Post-Filing Monitoring Process:

- At one month post-filing: Compliance Executive reviews the client's transaction activity for the period since filing. Note any material changes in transaction pattern, counterparty profile, or risk indicators.
- At three months post-filing: Repeat review. If the client's periodic KYC review is also due, coordinate with the KYC team - but do not disclose the STR in any communication with the client or KYC team members not authorized to know.
- At six and twelve months post-filing: Final reviews. If no new suspicious activity is identified, the post-filing monitoring obligation for this STR is considered complete.
- If new suspicious activity is identified at any review: open a new case, investigate using the standard process, and refer to PO. If the PO concludes a supplementary STR is required, file it referencing the original STR number.

Supplementary STR:

A supplementary STR is filed when: (a) new suspicious activity is identified that is connected to the original suspicion, or (b) new information comes to light that materially changes or escalates the original suspicion. The supplementary STR must cross-reference the original STR reference number in the FIU-IND form.

STAGE 7: RECORD KEEPING | Owner: Compliance Executive (maintenance) + Principal Officer (sign-off) | SLA: Retain minimum 6 years from filing date

All records relating to the STR process must be retained for a minimum of six years from the date of filing (Clause 9.2, IFSCA Guidelines). Records must be retrievable immediately on request from IFSCA or any law enforcement authority.

What Must Be Retained:

- The STR itself and all supporting documentation (investigation summary, transaction records, client communications, source of funds evidence).
- The internal investigation file for every case - including cases that were closed without an STR filing.
- The Alert & Case Log and STR Filing Log (retained in the workbook).
- The Sanctions-to-STR Decision Log (Tab 5 of the workbook) - including false positive documentation.
- All PO decisions - filing decisions, closure decisions, and further investigation directions - with the PO's recorded rationale.
- Any FIU-IND acknowledgement receipts and reference numbers.
- All post-filing monitoring review notes.

Record Retention Expiry Tracking:

The STR Filing Log (Tab 3 of the workbook) includes a Record Retention Expiry Date column calculated automatically as six years from the filing date. The Compliance Executive must review this column quarterly and archive or securely destroy records only after the retention period has passed and with PO sign-off.

> Records may be retained in electronic format provided they are readily accessible, can be reconstructed in full, and can be provided to IFSCA or law enforcement immediately on request. (Guidance Note 2 to Clause 9, IFSCA Guidelines)

6. Triage Decision Criteria -Summary Reference

The five triage gates are documented in full in the Escalation Decision Matrix (Tab 2 of the workbook). This section provides a quick reference summary for daily use.

Triage Gate	Close if ... / Escalate if ...
A-1: Profile Consistency	CLOSE if transaction is consistent with client profile, history, and risk rating in all dimensions. ESCALATE if materially inconsistent in volume, frequency, geography, counterparty, or stated purpose.
A-2: Sanctions Match	CLOSE (false positive) only after manual review confirms no match with documented rationale and PO sign-off. ESCALATE IMMEDIATELY to PO for any probable or confirmed match. Same business day.
A-3: Economic Rationale	CLOSE if client has provided a credible explanation consistent with known business. ESCALATE if no explanation exists, client is uncontactable, or explanation is inconsistent.
A-4: PEP Involvement	CLOSE if PEP status confirmed but transaction is routine within expected profile. ESCALATE if PEP status confirmed AND transaction is unusual, high-value, or involves opaque counterparties.
A-5: CDD Status	CLOSE alert (refer CDD issue separately to KYC team) if CDD complete and current. ESCALATE if CDD incomplete, overdue, or trigger event has occurred -consider whether CDD failure itself warrants STR.

7. Investigation Documentation Standard

Every case investigation must produce a documented investigation summary. The following fields are mandatory. The investigation summary is the primary evidence of the compliance process and must be able to stand alone as a complete, coherent account of the decision.

Field	Required Content
Case Reference	Case ID (CASE-YYYY-NNN) and linked Alert ID (ALT-YYYY-NNN).
Client Details	Client name, client ID, risk rating, account number, nationality/jurisdiction of incorporation.
Alert Basis	Full description of the alert: type, transaction amount, date, counterparty, alert rule triggered.
Suspicious Indicators Identified	List each indicator identified at triage and confirmed during investigation. Reference Clause 10.2 guidance note categories where applicable.
Steps Taken	Chronological log of all investigation steps: records reviewed, queries raised, customer contacted (if), third-party checks conducted, dates of each step.

Customer Explanation	Verbatim record of any explanation provided by the customer. If no explanation sought (and reason why not) or explanation declined, state explicitly.
Records Reviewed	Specify each record reviewed: transaction history (period), CDD file, source of funds documentation, prior STR history, correspondent/counterparty checks.
Aggravating Factors	List any aggravating factors: structuring, layering, PEP, high-risk jurisdiction, round-tripping, shell entity involvement. State 'None identified' if absent.
Conclusion and Rationale	Clear statement of conclusion (File STR / Close / Further Investigation) with full written rationale. The rationale must explain why the conclusion was reached -not just state it.
Compliance Executive Sign-Off	Name, date, and signature of the Compliance Executive completing the investigation.
PO Decision	PO's written decision: File / Close / Further Investigation. PO's recorded reasons. PO name and date.

8. Sanctions Screening Integration and STR Handoff Protocol

Sanctions screening and STR reporting are two distinct but closely connected compliance obligations. This section governs the handoff process between them. The key principle is that a sanction hit is not automatically an STR, but every sanction hit must be assessed for STR potential, documented, and signed off by the PO.

8.1 Scope of This Section

Sanctions screening obligations under Clause 5.9 and Clauses 7.3 to 7.5 of the IFSCA AML/CFT & KYC Guidelines 2022 run continuously - at onboarding, at periodic review, and on every transaction and wire transfer. A sanctions name screening hit can therefore surface at two distinct points in the STR process.

The first is within the normal seven-stage STR lifecycle. Where a sanctions flag arises during Alert Triage (Stage 2) or Case Investigation (Stage 3), it is handled through the standard escalation gates documented in those stages. Where a sanctions flag is identified at triage, the Escalation Decision Matrix requires same-day PO escalation regardless of any other alert characteristics.

The second is outside the alert-triggered lifecycle entirely. Name screening runs on every wire transfer and counterparty regardless of whether a transaction monitoring alert has been generated. A screening hit on a wire transfer beneficiary, a counterparty, or a beneficial owner may arrive with no associated TM alert - it enters the sanctions queue directly, not the STR alert queue.

This section governs the second population only: sanctions hits that arrive as standalone screening events with no preceding TM alert. The Sanctions-to-STR Decision Log (Workbook Tab 5) is designed for this population. It ensures that every standalone screening hit receives a documented STR assessment and PO sign-off on the outcome - confirmed hit, probable match, or false positive - regardless of whether the hit originated from a transaction monitoring trigger.

The two processes are complementary, not duplicative. TM-generated alerts with a sanctions dimension flow through the seven-stage lifecycle. Standalone screening hits flow through the protocol described in this section. Together they ensure complete coverage of the entity's sanctions screening obligations and the associated STR assessment duty.

8.2 Screening Obligations

The IBU must screen all clients, counterparties, and beneficial owners against the following lists on an ongoing basis:

- UNSC Consolidated List (ISIL/Al-Qaida -1267 list, and Taliban -1988 list): reviewed daily for additions, deletions, and changes. (Clause 11.1(a), IFSCA Guidelines)
- UAPA designated entities list (India): reviewed on update.
- OFAC SDN List and EU Consolidated Sanctions List: reviewed on update.
- Any other lists circulated by IFSCA from time to time (Clause 11.1(c)).

8.3 Sanctions Hit - Step by Step

13. Log the hit immediately in the Sanctions-to-STR Decision Log (Tab 5 of the workbook) with: Hit ID, Date, Client/Counterparty, Hit Type, List Matched.
14. Conduct manual review within the same business day. Compare name, date of birth, nationality, jurisdiction, and photograph (if available) against the listed individual or entity.
15. Reach one of three manual review outcomes: (a) Confirmed match, (b) Probable match -cannot rule out, (c) False positive - clearly different individual or entity.
16. Escalate to PO regardless of outcome. The PO signs off on every sanction hit -confirmed, probable, and false positive.
17. For confirmed or probable matches: block the transaction if not yet executed. Do not release until PO directs.
18. PO assesses for STR: Was a transaction attempted or completed? Does the sanctions exposure create reasonable grounds to suspect ML/TF? If yes: file STR. If no: document rationale.
19. For UNSC confirmed matches: MHA notification also required under UAPA Order (MHA File No. 14014/01/2019/CFT dated 2 Feb 2021). Log in the Sanctions-to-STR Decision Log.
20. Update the Sanctions-to-STR Decision Log with the final outcome and PO sign-off date.

8.4 False Positive Documentation

False positives must be documented with the same rigor as confirmed hits. For each false positive, the Sanctions-to-STR Decision Log must contain: the basis for concluding it is a false positive, the specific differences identified (date of birth, nationality, photograph, incorporation details), the reviewer's name, and the PO sign-off. A false positive that is not documented is indistinguishable from a hit that was not reviewed.

> Wire transfer screening: Under Clause 7.3–7.5 of the IFSCA Guidelines, the IBU must monitor all wire transfer messages for sanctions exposure. Where a wire transfer originator or beneficiary is confirmed as a terrorist or designated entity, the transaction must be blocked immediately and escalated to the PO. The PO decides on blocking, rejection, freezing, and reporting.

9. SLA Standards and Escalation Triggers

Process Stage	SLA Standard
Alert Triage	24 hours from alert receipt (standard) | 48 hours during high-volume periods | Same business day for sanctions hits
Case Investigation	10 business days from case open to investigation summary referred to PO
PO Review	2 business days from receipt of investigation summary to PO decision (target)
STR Filing	Promptly on PO conclusion - target same business day | Maximum 1 business day in exceptional circumstances
Post-Filing Review -Month 1	30 days from filing date
Post-Filing Review -Month 3	90 days from filing date
Post-Filing Review -Month 6 & 12	180 and 365 days from filing date
Sanctions Hit Manual Review	Same business day from hit identification
Sanctions Hit PO Sign-Off	By end of next business day at the latest
Record Retention	6 years from filing date -expiry tracked in STR Filing Log

9.1 Escalation Triggers

- Any alert that has been pending triage for more than 24 hours: Compliance Executive to notify PO immediately.

- Any case that has been open for more than 8 business days without an investigation summary referred to PO: PO to be notified and timeline reviewed.
- Any STR filing that has not been submitted within 1 business day of PO conclusion: PO to escalate to Senior Management.
- Alert volume exceeding 105/month for two consecutive months: PO to present capacity review to Senior Management with resource request.
- More than 3 sanctions hits in a single month: PO to notify Senior Management and consider whether correspondent relationships or client book review is warranted.

10. Confidentiality, Tipping Off, and Legal Protections

The tipping-off prohibition has already been stated at Stage 5. This section sets out the full framework of confidentiality obligations and the legal protections available to staff who file STRs in good faith.

- The tipping-off prohibition extends to all employees, officers, and agents of the IBU -not just the compliance team or PO.
- Disclosure of an STR is permitted only in the following circumstances (Clause 10.4(b)): (i) to an officer, employee, or agent of the IBU in connection with their duties; (ii) to a lawyer for legal advice; (iii) to IFSCA for supervisory purposes; (iv) under a court order; (v) within the Financial Group.
- Staff who file STRs or escalate suspicions in good faith are protected from civil, criminal, or disciplinary action. (Clause 10.4(c), IFSCA Guidelines) This protection applies even if the suspicion is later found to be incorrect.
- No restrictions may be placed on a client's account merely because an STR has been filed. Account operations continue normally. (Clause 10.3(2A), IFSCA Guidelines)

11. Training Requirements

All compliance team members involved in any stage of the STR process must complete the following training requirements. Training records must be maintained and made available to IFSCA on request (Clause 9.7, IFSCA Guidelines).

Training Requirement	Frequency / Standard
IFSCA AML/CFT Guidelines - full document review	On joining | On each material update to the Guidelines | Annual refresher
STR lifecycle - this SOP	On joining | Annual refresher | Whenever SOP is materially updated
Triage and investigation practical exercise	On joining (supervised triage of 3 historical cases) | Annual
FIU-IND portal - STR filing mechanics	On joining | When portal is updated
Sanctions screening - lists, manual review, false positives	On joining | When new list is added | Annual refresher
Tipping-off prohibition and legal protections	On joining | Annual refresher
PMLA obligations - Rule 3 and Rule 7	On joining | Annual refresher

12. Methodology Notes -Decisions Behind This SOP

This section documents the reasoning behind key structural decisions in this SOP and the accompanying workbook. It is included to make the design logic explicit and defensible. This section would not typically appear in a production SOP -it is included here as part of the portfolio documentation standard.

12.1 Why 'Promptly on Conclusion' Rather Than a Fixed Day Count

The IFSCA Guidelines (Clause 10.3, as amended by Circular dated Oct 2023) replaced the original 7-day window with 'promptly on conclusion.' This reflects the regulatory intent that there should be no undue delay once the PO has reached a conclusion. A fixed day count creates a perverse incentive to delay the PO's conclusion in order to extend the filing window. This SOP uses 'same business day as PO conclusion' as the internal target, with a one-business-day maximum for exceptional circumstances, because that is the operationally realistic interpretation of 'promptly.'

12.2 Why the Triage and Investigation Gates Are Separate

Triage and investigation serve different functions. Triage answers the question: 'Is this worth investigating?' Investigation answers: 'Is there reasonable grounds to suspect?' Conflating them creates two problems. First, it wastes investigation resource on alerts that can be quickly resolved at triage. Second, it risks the reverse - treating a triage close as a substitute for a proper investigation when the alert complexity warrants one. The five-gate triage structure in the Escalation Decision Matrix draws this line explicitly.

12.3 Why Sanctions Has Its Own Log Tab

A sanction hit and a suspicious transaction are two separate regulatory obligations with different governing frameworks (UAPA/UNSC vs PMLA/IFSCA Guidelines). The key risk is that they collapse together - a hit is either treated as an automatic STR (overreporting) or dismissed as a false positive without STR assessment (underreporting). A dedicated Sanctions-to-STR Decision Log makes the boundary visible, ensures every hit has a documented PO sign-off, and ensures the STR assessment is always completed whether or not a sanctions match is confirmed.

12.4 Why Post-Filing Monitoring Has Defined Review Points

The IFSCA Guidelines require ongoing monitoring after filing but do not specify review intervals. Leaving this undefined in practice means it does not happen. The monthly / 3-month / 6-month / 12-month structure was chosen because: (i) the first 30 days are the highest-risk period for supplementary activity, (ii) the 3-month review aligns with quarterly compliance reporting cycles, and (iii) the 12-month final review gives the team a clean closure point that can be documented and retained.

12.5 Capacity Model - Alert Volume Assumption

The capacity model in Tab 4 of the workbook uses 80–120 alerts per month as the planning range. This reflects a mid-sized IBU with 200–500 client accounts, cross-border lending and trade finance activity, and an active transaction monitoring program. The escalation trigger at 105 alerts/month sustained over two months was calibrated to give the PO a material data point for a resourcing conversation -not so low that it triggers constantly, not so high that it triggers only after the team is already overwhelmed.

12.6 Fund Administration Variation Note

This SOP is written for a cross-border lending and trade finance IBU. If applied to a fund administration context (Fund Management Entity or fund administrator in GIFT City), the following variations apply: (i) the alert generation source shifts from transaction monitoring of lending activity to NAV-level anomaly detection and investor redemption patterns; (ii) the investigation at Stage 3 places greater weight on source of funds for subscription proceeds and beneficial ownership chains for fund structures; (iii) the PEP triage gate (A-4) becomes significantly more active in a fund administration context given the prevalence of complex fund structures with PEP investors; (iv) the post-filing monitoring at Stage 6 must also consider whether the suspicious activity affects other investors in the same fund. The SLA structure, documentation standards, and PO governance obligations remain identical.

13. Disclaimer and Document Control

Document Control Item	Detail
Document Title	STR Operations Playbook - Alert to FIU-IND Filing SOP
Version	1.0 - Initial Issue
Effective Date	01 January 2026

Author	Neel Parekh - Compliance Execution Portfolio
Regulatory Basis	IFSCA AML/CFT & KYC Guidelines 2022 (updated 26 Feb 2026); PMLA 2002; PMLA Rules 2005; Section 51A UAPA 1967
Review Trigger (other than annual)	Material change to IFSCA Guidelines, FIU-IND reporting format, or PMLA Rules; any finding from IFSCA inspection relating to STR process; change in Principal Officer designation
Related Documents	STR Filing & Controls Workbook (Excel); Compliance Monitoring Program; Regulatory Change Execution Plan
Distribution	Principal Officer, Compliance Team members, Internal Audit (read-only). Not for distribution outside the compliance function.